Global Equity Strategy

Quantitative Framework and Positioning

Equity Strategy

Global

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Each month, we update the three key parts of our Quantitative framework:

1) Scorecards – Our individual scorecards rank sectors based on valuations, sensitivity to our UBS macro scenario, earnings momentum, price momentum (where extreme), positioning and quality fundamentals. The composite scorecard combines all these factors into one overall score.

2) Earnings versus Trend – We look at the EPS versus trend to evaluate one element of earnings risk as well as the fit with trend.

3) Machine Learning – This looks at which macro variables are the most important to the relative sector returns by refitting and training a machine learning model on a three-month rolling basis. The variables we look at are largely daily macro proxies (such as 2-10 Yield Curve, Hard Data, AI Narrative, China Proxy, Soft Data, US 10y breakeven and US 10y real yield) and are supplied by Sean Simonds (see Tactical Dashboard). This quantitative framework constitutes only one part of our overall weightings analysis.

Regions: Japan remains at the top of our aggregate regional scorecard, scoring top on our Monetary Conditions Indicator and earnings momentum scorecard. However, we see a sharp tightening of monetary conditions relative to elsewhere, and it has the highest operational leverage and that means it tends to underperform if global PMIs fall hence, we prefer GEM to Japan. GEM ranks second (unchanged despite ranking poorly on risk appetite) and remains our most preferred regions. It ranks very well on economic momentum and earnings momentum. We focus on China, Korea, and Brazil. The UK is middling (up 1 place), supported by cheaper valuations and low risk appetite. The US now ranks second bottom (up 1 place). We are benchmark the US. It is the biggest beneficiary of our near-term macro scenario (likely near-term fall in PMI) ; however, valuation and economic momentum cause it to rank poorly. Europe ranks at the bottom of the scorecard (down 1 place despite it being top of the valuation scorecard). Europe suffers from weak earnings and economic momentum.

Sectors: On the cyclical side, we are overweight: We are overweight domestic Europe (budget airlines, retail banks, and retailing), luxury and the electrification theme. We are benchmark tech – focusing on NJA tech. We are overweight those defensives that are abnormally cheap and not too disrupted highlighting US healthcare equipment, which ranks top on our aggregate global scorecard, household products (ranks 5th), flavouring companies, UK food retailing and T and D utilities. We upgraded pharma (ranks 7th globally) as a diversifier in case the oil and gas prices are more prolonged than UBS forecast and downgrade European banks to marginal overweight.

Crowding: The most crowded region (relative to history) is the US, and the least crowded is Europe. The most crowded sectors (relative to history) are Real estate, Semis & Capital Goods.The least crowded are Food Producers, Utilities and Consumer Durables.

Market Direction: Not covered in this scorecard but in part 1 of our outlook and our pack. We stick to a 1130 MSCI AC World end-26 target and see at least a c40% chance of a bubble forming that we are not yet in .

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Summary

Regional Scorecards:

Japan remains at the top of our aggregate regional scorecard. It ranks top on our MCI and earnings momentum scorecard. However, we see a sharp tightening of monetary conditions relative to elsewhere, and it has the highest operational leverage and that means it tends to underperform if PMIs fall. GEM ranks second (unchanged), owing to strong economic momentum and earnings momentum, but it ranks at the bottom of our risk appetite scorecard, and we are overweight GEM (focusing on China and Brazil). The UK is middling (up 1 place), supported by cheaper valuations and strong risk appetite. The US now ranks fourth (up 1 place). It is the biggest beneficiary of our near-term macro scenario (flat markets, USD, and inflation expectations, falling yields, and falling ISM and PMIs); however, it is the most expensive region on our valuation scorecard. Europe ranks at the bottom of the scorecard (down 1 place), owing to weak earnings momentum, economic momentum, and weak macro sensitivity, but it is the cheapest region on our valuation scorecard.

Global Sector Scorecards:

- **Overall Scorecard:** Healthcare Equipment rank at the top of the scorecard (unchanged) followed by Software (up 2 places). Pharma improved the most over the last month, moving up 9 places to 7th. Banks was the biggest loser, falling 9 places to 18th. Capital Goods and Food Retail rank at the bottom.
- **Valuation:** Beverages (at 2.6 std dev) and Healthcare Equipment (at 2.5 std dev) are the cheapest sectors, while Capital Goods and Food Retail are the most expensive. Looking specifically at the 12m Fwd P/E, Beverages is the cheapest sector at 1.9 std dev cheap. Software (up 8 places to 9th), improved the most, while Chemicals (down 5 places to 17th) fell the most.
- **Macro:** Food Producers (up 23 places) is the biggest beneficiary of our near-term macro scenario (flat markets, USD, and inflation expectations, falling bond yields, and falling ISM and PMIs); followed by Pharma (up 24 places) which surged the most over the last month. Capital Goods is the biggest loser (down 25 to 27th). Banks and Capital Goods rank at the bottom.
- **Earnings Momentum:** Metals and Mining (up 1) rank at the top followed by Semis (down 1). Beverages surged the most (up 16 places to 10th) while Autos is the biggest loser (down 15 places to 25th). Pulp & Paper (unchanged) rank at the bottom.
- **Price Momentum:** Software is the most oversold sector (4 std dev) followed by consumer durables (up 3 places) and the most overbought are Capital goods (2.4 std dev) and Energy (2.8 std dev).
- **Net buy recommendations by analysts:** Energy and Food Producers are the biggest consensus shorts by the analysts, while Commercial Services and Diversified Financials are the consensus longs.
- **Quality Fundamentals:** Semis and Hotels & Leisure remain at top of this slow moving scorecard whilst, Pulp & Paper and Chemicals are at the bottom of the scorecard.

European Sector Scorecards:

- **Overall scorecard:** Commercial Services (up 8 places) rank at the top of the scorecard followed by Beverages (down 1). Software improved the most over the last month, moving up 15 places to 5th. Banks was the biggest loser, falling 13 places to 18th, and Capital Goods rank at the bottom (down 1).
- **Valuation:** Beverages (at 2.3 std dev) and Healthcare Equipment (at 2 std dev) are the cheapest sectors, while Capital Goods and Semis are the most expensive. Looking specifically at the 12m Fwd P/E, Commercial Services is at 1.9 times std dev cheap. Software (up 13 to 6th) improved the most, while Energy (down 5 to 13th) fell the most.
- **Macro:** Food Producers (up 23 places) is the biggest beneficiary of our near-term

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macro scenario (flat markets, USD, and inflation expectations, falling bond yields, and falling ISM and PMIs); followed by Food Retail (up19 places). Capital Goods is the biggest loser (down 24 to 25th). Autos & Banks rank at the bottom.

- **Earnings momentum:** Metals and Mining (unchanged) rank at the top followed by Semis (up 2 places). Beverages (up 20 places to 3rd) has the biggest change in 12M fwd EPS change and earnings breadth. Autos is the biggest loser (down 15 places to 27th) rank at the bottom.
- **Price Momentum:** Software is the most oversold (3.2 std dev) and the most overbought is Energy (2.9 std dev).
- **Net Buy recommendations by analysts:** Utilities and Energy are the biggest consensus shorts by the analysts, while Commercial Services and Healthcare Equipment are the consensus longs.
- **Quality Fundamentals:** Pharma and Semis rank at the top of this slow moving scorecard whilst, Pulp & Paper and Autos are at the bottom of the scorecard.

Earnings versus trend:

Software has earnings that are 12% above trend (trend of 10% CAGR, with an R-squared of 0.99). Semis earnings are now 90% above trend (with an R^2 of 0.89 and CAGR of 13%). Retailing earnings are 25% above trend (R^2 is 0.93) with 8% trend EPS growth. Healthcare equipment EPS is 15% below trend (CAGR of 9% with R2 of 0.98).

ML Model:

Sean Simonds has a complex machine learning model. On this basis, Globally, Software and Commercial services offer the most upside. Materials and Energy the most downside.

UBS crowding data:

The most crowded region (relative to its history) is the US, and the least crowded region is Europe.

The most crowded sectors (relative to history) are Real estate, Semis & Capital Goods.The least crowded are Food Producers, Utilities and Consumer Durables.

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Earnings versus Trend

Regional Crowding

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Industry group performance vs ML model implied

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Regional Scorecards

Overall

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For all measures, a high z-score is considered supportive (z-score is the number of standard deviations between the current value and average). Regions with looser MCIs, better economic momentum, cheaper valuations, better earnings momentum, lower risk appetite, and those that benefit from our macro scenario are ranked at the top.

Figure 1: Regional – Overall Scorecard

Regions	Z scores						Total	Change in ranking since previous month
	MCI	Economic momentum	Valuation	Earnings	Risk Appetite	Macro		
Weights	*15%*	*10%*	*30%*	*20%*	*10%*	*15%*	*100%*	
Japan	1.75	0.90	-0.18	1.04	-0.38	-0.79	0.35	-
GEM	-0.67	1.03	0.50	0.84	-1.49	0.22	0.21	-
UK	-0.51	-0.12	0.61	-0.61	1.06	0.15	0.10	1
US	-0.09	-0.42	-1.67	0.08	0.71	1.48	-0.25	1
Europe ex UK	-0.48	-1.39	0.74	-1.35	0.09	-1.06	-0.41	-2

Source: Refinitiv Datastream, Bloomberg, UBS

Monetary Conditions Indicator Scorecard

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The MCI scorecard is based on the 20-year z-score of the real policy rate, M1 vs GDP growth, and exchange rate (trade-weighted) deviation from linear trend. The GEM MCI score is calculated using a market-cap-weighted average of Korea, China, Brazil and India. Continental Europe scores poorly.

Figure 2: Regional – MCI Scorecard (best is top)

Regions/MCI	Real policy rate rate	M1 vs GDP growth	Exchange rate dev. from trend	Aggregate Z score	Change in ranking since previous month
Weights	50%	25%	25%	**100%**	
Japan	-1.9%	-3.3%	-16%	1.75	-
US	1.2%	-1.6%	-2.6%	-0.09	-
Europe ex UK	0.0%	2.5%	7.6%	-0.5	1
UK	0.7%	1.5%	10%	-0.51	1
GEM	7.2%	17.8%	19.7%	-0.7	-2

Source: Refinitiv Datastream, Bloomberg, UBS

Economic Momentum

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Our regional economic momentum scorecard ranks regions based on Composite PMI new orders and Macro Surprises (an index assessing the deviation of actual economic data from forecasts), incorporating both their level and 3-month change. All variables are normalised cross-sectionally in this scorecard.

Figure 3: Regional – Economic Momentum Scorecard

Regions / Economic Momentum	Composite PMI		Macro surprises		Z Score	Change in ranking from previous month
	level	3m change	level	3m Average		
Weight	*33%*	*33%*	*17%*	*17%*	*100%*	
GEM	53.8	1.0	36.8	29.2	1.03	+1
Japan	53.4	3.6	-1.3	38.2	0.90	+1
UK	52.5	2.7	18.1	-10.0	-0.12	-2
US	52.5	-1.4	28.6	22.7	-0.42	+1
Europe ex UK	51.0	-1.1	9.7	25.2	-1.39	-1

Source: Refinitiv Datastream, Bloomberg, UBS

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Valuation

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Our valuation scorecard is based on the 30-year z scores of the 12m forward P/E (IBES consensus), P/B and dividend yields relative to global markets, as well as the absolute PEG ratio 15-year z score, and the difference between the 12m forward earnings yield and 10-year bond yield 20-year z scores.

Figure 4: Regional – Valuation Scorecard

Regions / Valuation	12m fwd PE		Price to book		Dividend yield		PEG		Earnings yield-BY		Z score	Change in ranking from previous month
	Latest (Relative)	Z-score	Latest (Relative)	Z-score	Latest (Relative)	Z-score	Latest (Relative)	Z-score	Latest (Relative)	Z-score		
Weight	*30%*		*20%*		*15%*		*15%*		*20%*		*100%*	
Europe ex UK	0.9	-0.8	0.8	-1.7	1.5	1.8	13.7	0.8	3.2	-2.0	0.74	-
UK	0.7	-0.9	0.4	-1.6	1.7	0.9	11.7	0.5	2.5	-2.1	0.61	-
GEM	0.7	-0.5	0.9	0.0	1.6	1.8	10.6	0.5	1.0	-0.9	0.50	-
Japan	0.9	-0.7	0.7	0.2	1.1	1.6	15.6	2.5	3.6	-1.8	-0.18	-
US	1.2	1.1	1.9	1.5	0.6	-1.8	17.2	0.7	0.4	-1.8	-1.67	-

Source: Refinitiv Datastream, Bloomberg, UBS

Earnings

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Our earnings momentum scorecard looks at the change in each region's 12-month forward EPS and earnings breadth (which is calculated as the sum of weekly upward revisions less the sum of weekly downward revisions divided by the total number of revisions). All of these variables are standardised cross-sectionally.

Figure 5: Regional – Earnings Scorecard

Regions / Earnings	Change in 12m fwd EPS		Earnings breadth		Z-score	Change in ranking from previous month
	1-month	3-month	1-month	3-month		
Weight	50%		50%		**100%**	
Japan	1.3%	5.3%	7.8%	5.9%	1.04	0
GEM	2.4%	17.5%	0.2%	0.2%	0.84	0
US	0.5%	4.3%	3.4%	1.9%	0.08	0
UK	0.6%	0.9%	-0.5%	-1.1%	-0.61	0
Europe ex UK	-0.9%	3.3%	-4.2%	-3.1%	-1.35	0

Source: Refinitiv Datastream, Bloomberg , UBS

Regional Risk Appetite

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Our risk appetite scorecard ranks regions based on equity risk appetite (reward for higher-volatility sectors). We look at the rolling cross-sectional 6m linear regression coefficient of average return on standard deviation for each region. We work out the same for global sectors and subtract it from the absolute risk appetite of each region. Finally, we standardise relative risk appetites against their 5-year history. Regions with lower risk appetite relative to global equity markets relative to history are ranked at the top.

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Figure 6: Regional – Risk Appetite Scorecard

Regions / RA	Risk appetite, rel global		Z score	Change in ranking from previous month
	latest	LT average		
UK	-1.02	-0.18	1.06	2
US	-0.18	0.04	0.71	0
Europe ex UK	-0.26	-0.07	0.09	1
Japan	0.12	0.02	-0.38	-3
GEM	0.76	-0.12	-1.49	0

Source: Refinitiv Datastream, Bloomberg , UBS

Macro

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Our macro scorecard evaluates each region's equity correlation to various macroeconomic factors and then ranks them by their estimated relative performance under our projected macro scenario. Correlations are normalised cross-sectionally for each factor and aggregated equally weighted. Our near-term macro scenario is flat markets, USD, and inflation expectations, falling bond yields, and falling ISM and PMIs.

Figure 7: Regional – Macro Scorecard

Regions / Macro	Beta	10y correlation with:				Aggregared Z score	Change in ranking from previous month
		BY	Inflation exp	USD	Global PMI		
Scenario: 0.3 to -0.3	0	-0.1	0	0	-0.1		
US	1.2	-0.2	0.2	0.0	-0.1	1.48	1
GEM	0.8	-0.2	-0.2	-0.4	0.0	0.22	-1
UK	0.3	0.2	-0.1	0.1	0.0	0.15	2
Japan	0.7	0.5	0.0	0.4	0.0	-0.79	0
Europe ex UK	0.7	0.1	-0.1	0.0	0.1	-1.06	-2

Source: Refinitiv Datastream, Bloomberg , UBS

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Global Sectors

Global Sectors – Overall Scorecard

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Our individual scorecards rank sectors based on valuations, correlation to our proposed macro scenario, earnings momentum, price momentum (where extreme), positioning, and fundamentals. In our composite scorecard, all of these factors are combined into one overall score. We emphasise that these scorecards do not represent our weightings, but constitute only one part of our overall weightings analysis.

Figure 8: Global Sectors – Overall Scorecard

Global Sectors	Z-scores							Change, prev.month
	Valuation	Macro	Earnings momentum	Price momentum	Positioning	Fundamental	**Total**	
Weight	*40%*	*10%*	*10%*	*10%*	*10%*	*20%*	*100%*	
Healthcare Equipment	2.50	1.19	-0.55	1.62	-0.39	0.49	0.76	0
Software	1.51	0.71	0.12	4.02	0.03	0.54	0.74	2
Food Producers	2.49	1.53	-0.57	0.00	1.58	-0.10	0.68	-1
Beverages	2.57	0.91	0.10	0.00	0.20	0.10	0.67	4
Household Products	2.35	1.46	-0.08	0.00	-0.11	0.21	0.65	-2
Consumer Durables	1.99	-0.34	-0.33	2.47	1.29	-0.02	0.55	1
Pharmaceuticals	0.87	1.48	0.17	0.00	0.74	0.26	0.37	9
Insurance	1.68	-0.69	0.21	0.00	1.17	-0.39	0.21	2
Semiconductors	-1.91	-0.10	1.66	0.00	0.46	2.11	0.20	-3
Telecoms	1.30	1.02	-0.10	-1.12	0.90	-0.29	0.18	2
Tobacco	0.56	0.41	0.03	0.00	1.17	0.09	0.14	3
Utilities	1.13	1.24	-0.13	-1.52	0.58	-0.14	0.14	-1
Transportation	1.73	-0.60	-0.10	-1.04	1.17	-0.36	0.14	-8
Commercial Services	1.32	0.48	-0.18	1.89	-3.29	0.15	0.07	1
Retailing	0.38	0.24	-0.56	1.67	-0.95	0.54	0.06	5
Hotels & Leisure	0.09	-0.80	-0.46	1.23	-0.86	0.80	-0.05	-3
Technology Hardware	-1.20	-0.10	1.66	0.00	0.34	0.63	-0.08	1
Banks	1.03	-1.39	0.56	0.00	-0.61	-0.57	-0.21	-9
Metals and Mining	-0.10	-0.64	2.26	-1.69	0.05	-0.48	-0.24	5
Pulp & Paper	1.83	-0.65	-1.48	0.00	0.31	-1.35	-0.34	2
Diversified Financials	-0.18	-1.09	0.15	1.24	-1.44	-0.08	-0.40	4
Construction Materials	-0.57	-1.04	-0.57	1.69	1.25	-0.36	-0.41	-1
Chemicals	0.49	-0.76	-0.31	-1.03	0.46	-0.74	-0.42	-6
Energy	0.62	-1.17	-0.89	-2.85	1.70	-0.50	-0.43	-1
Autos	-0.51	-1.13	-0.77	0.00	0.90	-0.56	-0.63	-6
Food Retail	-1.91	1.27	-0.09	-1.75	-0.82	-0.06	-0.79	1
Capital Goods	-3.17	-1.45	0.24	-2.46	-1.31	0.07	-1.41	-1

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors – Valuation Scorecard

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Our valuation scorecard is based on 12m forward P/E relatives (IBES consensus), P/B relatives, and dividend yield relatives. We calculate the z-score for each of these components relative to their histories: for P/E, P/B and dividend yield, this calculation is based on monthly values dating back to 1995.

Figure 9: Global Sectors – Valuation Scorecard

Global Sectors	12m fwd P/E			P/B			Div yield			Total Z-Score	Change, prev.month
	Absolute	Relative	z-score	Absolute	Relative	z-score	Absolute	Relative	z-score		
Beverages	19.4	103%	1.9	4.4	121%	2.1	3.00	183%	3.7	2.57	0
Healthcare Equipment	18.7	99%	1.7	3.4	92%	2.7	1.42	87%	3.1	2.50	2
Food Producers	19.3	103%	1.2	3.1	86%	2.2	3.57	218%	4.0	2.49	0
Household Products	21.8	115%	1.9	6.3	174%	1.6	2.81	171%	3.6	2.35	-2
Consumer Durables	19.6	104%	0.9	3.1	86%	1.1	1.74	106%	4.0	1.99	2
Pulp & Paper	16.3	86%	0.3	1.1	29%	2.2	3.94	241%	2.9	1.83	-1
Transportation	18.1	96%	0.9	2.8	77%	1.7	2.41	147%	2.7	1.73	-1
Insurance	11.5	61%	1.5	1.9	52%	0.8	3.24	198%	2.7	1.68	2
Software	21.2	112%	1.6	7.3	201%	1.1	0.79	48%	1.8	1.51	8
Commercial Services	19.9	105%	1.8	5.9	162%	0.2	1.64	100%	2.0	1.32	6
Telecoms	13.9	74%	0.8	2.0	55%	1.5	3.76	230%	1.6	1.30	-3
Utilities	17.5	93%	0.4	2.2	59%	1.4	3.25	198%	1.6	1.13	-3
Banks	11.5	61%	0.8	1.5	41%	0.8	3.30	202%	1.4	1.03	-2
Pharmaceuticals	18.7	99%	0.7	5.6	152%	0.9	1.94	118%	1.0	0.87	0
Energy	16.9	89%	-0.2	2.0	54%	0.9	3.64	223%	1.1	0.62	-2
Tobacco	15.7	83%	0.4	8.0	220%	0.5	4.57	279%	0.8	0.56	-1
Chemicals	22.6	120%	-2.0	2.7	74%	1.5	2.08	127%	1.9	0.49	-5
Retailing	22.3	118%	0.9	5.5	150%	1.0	0.65	39%	-0.7	0.38	0
Hotels & Leisure	21.5	114%	0.9	11.4	311%	-1.0	1.37	84%	0.3	0.09	1
Metals and Mining	15.0	79%	-0.1	2.9	79%	0.2	1.78	109%	-0.5	-0.10	-1
Diversified Financials	16.6	88%	0.1	2.7	74%	-0.4	1.36	83%	-0.2	-0.18	2
Autos	21.2	112%	-1.8	2.1	59%	0.4	1.39	85%	-0.1	-0.51	-1
Construction Materials	20.4	108%	-0.7	2.5	70%	0.0	1.31	80%	-1.0	-0.57	-1
Technology Hardware	21.9	116%	-0.3	8.6	236%	-2.5	0.77	47%	-0.9	-1.20	0
Semiconductors	22.2	118%	-0.3	12.1	333%	-2.7	0.51	31%	-2.7	-1.91	2
Food Retail	27.8	148%	-2.9	6.0	164%	-2.3	1.33	81%	-0.6	-1.91	-1
Capital Goods	25.5	135%	-4.7	5.0	136%	-2.7	1.35	82%	-2.1	-3.17	-1

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors – Macro Scorecard

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Our macro scorecard evaluates each sector's equity sensitivity to macro variables, which we then rank according to our projected macro scenario. Our near-term macro scenario is flat markets, USD, and inflation expectations, falling bond yields, and falling ISM and PMIs.

Figure 10: Global Sectors – Macro Scorecard

Global Sectors - Macro Scorecard	Beta	10Y correlation with:					Z-score	Change, prev.month
		ISM	Global PMI	BY	Inflation exp.	USD		
Scenario: 1 =up, 0 = no change	0.0	-0.1	-0.1	-0.1	0	0		
Food Producers	0.27	-0.51	-0.40	-0.31	-0.50	0.14	1.53	23
Pharmaceuticals	0.51	-0.48	-0.49	-0.22	-0.49	0.29	1.48	24
Household Products	0.49	-0.42	-0.33	-0.41	-0.59	0.12	1.46	19
Food Retail	0.62	-0.45	-0.43	-0.14	-0.39	0.40	1.27	23
Utilities	0.51	-0.41	-0.34	-0.25	-0.44	0.09	1.24	16
Healthcare Equipment	0.55	-0.38	-0.39	-0.19	-0.31	0.25	1.19	17
Telecoms	0.42	-0.39	-0.26	-0.18	-0.38	0.08	1.02	11
Beverages	0.28	-0.36	-0.25	-0.14	-0.38	-0.03	0.91	11
Software	1.26	-0.11	-0.19	-0.28	-0.16	0.13	0.71	3
Commercial Services	0.74	-0.12	-0.11	-0.18	-0.20	0.12	0.48	7
Tobacco	0.23	-0.22	-0.22	0.07	-0.16	-0.03	0.41	9
Retailing	1.25	0.05	-0.06	-0.20	-0.02	0.19	0.24	2
Semiconductors	2.26	0.11	0.10	-0.16	0.08	-0.12	-0.10	-12
Technology Hardware	1.03	0.14	0.07	-0.16	0.04	0.09	-0.10	-1
Consumer Durables	1.17	0.19	0.34	-0.28	-0.02	-0.36	-0.34	-11
Transportation	0.91	0.19	0.25	0.00	0.11	-0.23	-0.60	-8
Metals and Mining	0.95	0.18	0.18	0.10	0.31	-0.38	-0.64	-12
Pulp & Paper	0.46	0.05	0.04	0.36	0.20	-0.11	-0.65	-2
Insurance	0.54	-0.01	0.13	0.36	0.15	-0.16	-0.69	-4
Chemicals	0.73	0.19	0.25	0.12	0.21	-0.24	-0.76	-10
Hotels & Leisure	0.93	0.11	0.24	0.22	0.12	-0.13	-0.80	-10
Construction Materials	1.18	0.30	0.40	0.07	0.22	-0.42	-1.04	-19
Diversified Financials	1.07	0.25	0.23	0.32	0.40	-0.09	-1.09	-14
Autos	1.26	0.38	0.29	0.17	0.32	-0.04	-1.13	-18
Energy	0.05	0.10	0.12	0.61	0.42	0.07	-1.17	0
Banks	0.99	0.24	0.29	0.48	0.38	-0.26	-1.39	-19
Capital Goods	1.13	0.38	0.46	0.24	0.29	-0.51	-1.45	-25

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors – Earnings Scorecard

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Our earnings scorecard looks at the change in each sector's 12-month forward EPS and earnings breadth (which is calculated as the sum of weekly upward revisions less the sum of weekly downward revisions divided by the total number of revisions).

Figure 11: Global Sectors – Earnings Scorecard

Global sectors	Change in 12m fwd EPS		Earnings breadth		Total Z-score	Change, prev.month
	1-month	3-month	1-month	3-month		
Metals and Mining	4.4%	20.4%	17.1%	11.7%	2.26	1
Semiconductors	-0.4%	25.1%	14.1%	9.8%	1.66	-1
Technology Hardware	3.1%	19.7%	11.3%	6.8%	1.66	0
Banks	0.1%	5.0%	8.1%	5.2%	0.56	2
Capital Goods	0.8%	5.4%	1.5%	0.8%	0.24	7
Insurance	0.8%	3.4%	2.1%	1.2%	0.21	2
Pharmaceuticals	2.1%	0.3%	1.1%	0.3%	0.17	12
Diversified Financials	-1.1%	3.2%	4.6%	3.4%	0.15	-1
Software	-3.0%	2.2%	7.7%	6.6%	0.12	-5
Beverages	2.4%	2.1%	-0.7%	-2.4%	0.10	16
Tobacco	0.1%	0.5%	3.2%	0.9%	0.03	9
Household Products	2.5%	1.3%	-3.1%	-3.8%	-0.08	11
Food Retail	0.9%	3.7%	-4.6%	-0.9%	-0.09	-4
Telecoms	0.7%	7.6%	-4.5%	-3.7%	-0.10	-9
Transportation	1.6%	3.5%	-5.0%	-2.6%	-0.10	2
Utilities	-0.4%	2.2%	-0.1%	-0.2%	-0.13	-1
Commercial Services	-0.2%	1.9%	-1.2%	-0.8%	-0.18	-1
Chemicals	2.0%	1.6%	-6.8%	-5.3%	-0.31	6
Consumer Durables	1.2%	1.8%	-5.4%	-4.7%	-0.33	3
Hotels & Leisure	-0.8%	1.7%	-4.2%	-3.1%	-0.46	-2
Healthcare Equipment	-3.0%	0.9%	-1.0%	-0.7%	-0.55	-8
Retailing	-2.0%	1.8%	-3.9%	-2.2%	-0.56	-11
Food Producers	-1.7%	1.4%	-4.0%	-3.0%	-0.57	-2
Construction Materials	1.7%	4.7%	-14.5%	-7.5%	-0.57	-10
Autos	-4.5%	4.5%	-4.4%	-2.1%	-0.77	-15
Energy	0.8%	-3.2%	-10.8%	-7.8%	-0.89	-1
Pulp & Paper	-1.6%	-1.8%	-15.0%	-12.6%	-1.48	0

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors –Price Momentum Scorecard

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Price momentum is the percentage deviation of the sector's relative performance from its six-month moving average relative to the market, normalised such that the most oversold sectors have the most positive z-scores. We only consider a sector's price momentum at extremes (at least one standard deviation oversold or overbought).

Figure 12: Global Sectors – Price Momentum Scorecard

Global Sectors	Price momentum		Change, prev.month
	Relative	z-score	
Software	-15.5%	4.02	0
Consumer Durables	-9.9%	2.47	3
Commercial Services	-6.7%	1.89	-1
Construction Materials	-8.6%	1.69	16
Retailing	-7.1%	1.67	4
Healthcare Equipment	-6.4%	1.62	1
Diversified Financials	-7.1%	1.24	5
Hotels & Leisure	-4.7%	1.23	-5
Autos	-5.7%	0.00	10
Insurance	-2.7%	0.00	1
Household Products	-0.2%	0.00	-1
Banks	-0.8%	0.00	13
Technology Hardware	2.6%	0.00	1
Food Producers	1.8%	0.00	-6
Semiconductors	5.1%	0.00	8
Tobacco	3.5%	0.00	0
Pulp & Paper	1.6%	0.00	-4
Pharmaceuticals	3.8%	0.00	6
Beverages	4.5%	0.00	-4
Chemicals	3.3%	-1.03	-14
Transportation	2.6%	-1.04	-3
Telecoms	3.8%	-1.12	-18
Utilities	6.0%	-1.52	-6
Metals and Mining	14.5%	-1.69	3
Food Retail	7.1%	-1.75	-3
Capital Goods	7.1%	-2.46	0
Energy	17.7%	-2.85	-6

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors – Net Positioning Scorecard

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For our positioning scorecard, we look at net consensus buy recommendations by sell-side analysts. The more positive the recommendations relative to the market, the lower the score. The sector's z-score for each component is calculated against the sector's 10-year average.

Figure 13: Global Sectors – Net Positioning Scorecard

Global Sectors	Sell-side analysts consensus recomm. rel to market			Change, prev.month
	Current, pp	Avg	Z-Score	
Energy	-0.9%	1.8%	1.70	6
Food Producers	-4.8%	-3.0%	1.58	10
Consumer Durables	-0.3%	1.4%	1.29	1
Construction Materials	0.2%	2.8%	1.25	2
Insurance	-3.1%	-2.4%	1.17	-3
Tobacco	2.2%	4.4%	1.17	4
Transportation	-3.2%	-2.2%	1.17	-6
Autos	-0.9%	0.6%	0.90	-5
Telecoms	-4.9%	-4.0%	0.90	10
Pharmaceuticals	2.7%	3.5%	0.74	3
Utilities	-3.4%	-2.7%	0.58	4
Chemicals	-1.3%	-0.4%	0.46	-4
Semiconductors	4.6%	5.2%	0.46	-8
Technology Hardware	3.9%	4.3%	0.34	-5
Pulp & Paper	-4.2%	-3.0%	0.31	1
Beverages	2.6%	2.9%	0.20	2
Metals and Mining	0.9%	1.0%	0.05	3
Software	2.2%	2.2%	0.03	-4
Household Products	-5.3%	-5.4%	-0.11	-8
Healthcare Equipment	1.7%	1.2%	-0.39	-3
Banks	-2.9%	-3.6%	-0.61	2
Food Retail	-2.8%	-3.8%	-0.82	2
Hotels & Leisure	2.5%	0.8%	-0.86	-2
Retailing	0.2%	-0.4%	-0.95	1
Capital Goods	1.4%	0.4%	-1.31	2
Diversified Financials	0.8%	-0.3%	-1.44	-4
Commercial Services	0.0%	-2.6%	-3.29	-1

Source: Refinitiv Datastream, Bloomberg, UBS

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Global Sectors – Quality Fundamental Scorecard

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Our fundamental scorecard assesses profitability (12-month forward ROE) and the volatility of profitability, sales growth (CAGR of 5-year trailing and 3-year forward) and the volatility of sales growth, EPS growth (CAGR of 5-year trailing and 3-year forward) and leverage.

Figure 14: Global Sectors – Quality Fundamental Scorecard

Global Sectors	12m fwd ROE	5y Average ROE	12m fwd ROE/ 10y stdev	Sales growth	Sales growth / 10y stdev	EPS growth	Net debt to EBITDA	Weighted z score	Change, prev.month
Weightings	20%	0%	20%	15%	15%	15%	15%		
Semiconductors	38%	25%	11.42	20%	3.22	33%	-0.04	2.11	0
Hotels & Leisure	43%	20%	3.03	15%	0.45	24%	1.63	0.80	0
Technology Hardware	33%	24%	8.33	5%	1.90	9%	0.20	0.63	3
Software	26%	26%	8.05	8%	0.94	21%	0.39	0.54	3
Retailing	20%	22%	9.13	7%	0.70	26%	0.00	0.54	0
Healthcare Equipment	16%	18%	20.86	7%	0.63	10%	1.82	0.49	-3
Pharmaceuticals	25%	25%	12.28	6%	0.61	8%	1.27	0.26	2
Household Products	26%	25%	16.17	2%	0.22	5%	0.99	0.21	6
Commercial Services	27%	21%	9.31	4%	0.43	12%	1.53	0.15	2
Beverages	21%	20%	10.00	6%	0.76	8%	1.38	0.10	5
Tobacco	46%	38%	2.91	3%	0.54	6%	1.96	0.09	1
Capital Goods	17%	14%	9.41	5%	0.65	16%	2.05	0.07	1
Consumer Durables	15%	16%	9.67	3%	0.49	11%	-0.04	-0.02	7
Food Retail	19%	18%	8.77	4%	0.53	9%	1.52	-0.06	2
Diversified Financials	15%	12%	8.39	4%	0.24	13%	0.35	-0.08	3
Food Producers	15%	15%	14.80	2%	0.45	7%	2.61	-0.10	-6
Utilities	11%	10%	17.35	3%	0.35	11%	4.48	-0.14	-9
Telecoms	14%	13%	10.38	1%	0.47	9%	2.33	-0.29	-1
Transportation	15%	14%	3.47	5%	0.27	12%	1.68	-0.36	2
Construction Materials	12%	10%	6.85	2%	0.39	12%	1.89	-0.36	-1
Insurance	15%	12%	7.10	-1%	0.23	10%	1.22	-0.39	2
Metals and Mining	17%	16%	2.73	2%	0.62	3%	0.91	-0.48	2
Energy	11%	14%	1.71	5%	-0.06	13%	0.88	-0.50	2
Autos	9%	10%	4.27	7%	0.46	7%	3.53	-0.56	-2
Banks	12%	10%	10.25	5%	1.22	12%	10.89	-0.57	-21
Chemicals	11%	12%	4.52	-1%	0.15	7%	2.25	-0.74	0
Pulp & Paper	6%	9%	1.62	-4%	0.21	-9%	2.24	-1.35	0

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors

European Sectors – Overall Scorecard

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Our individual scorecards rank sectors based on valuations, correlation to our proposed macro scenario, earnings momentum, price momentum (where extreme), positioning, and fundamentals. In our composite scorecard, all of these factors are combined into one overall score. We emphasise that these scorecards do not represent our weightings, but constitute only one part of our overall weightings analysis.

Figure 15: European Sectors – Overall scorecard

European Sectors	Z-scores							Change, prev.month
	Valuation	Macro	Earnings momentum	Price momentum	Positioning	Fundamental	**Total**	
Weight	*40%*	*10%*	*10%*	*10%*	*10%*	*20%*	*100%*	
Commercial Services	1.85	0.93	0.03	2.67	-3.54	0.92	0.81	8
Beverages	2.27	0.67	0.55	0.00	-1.29	-0.12	0.67	-1
Food Producers	1.59	1.71	-0.63	0.00	1.58	0.06	0.65	0
Household Products	1.48	1.22	-0.24	1.08	-0.35	0.34	0.60	0
Software	1.45	0.19	-0.13	3.15	-1.51	0.48	0.58	15
Healthcare Equipment	2.05	1.16	-0.82	2.79	-2.17	-0.33	0.48	5
Pharmaceuticals	0.49	1.32	-0.18	0.00	-0.24	1.09	0.46	0
Hotels & Leisure	0.76	-0.77	-0.20	1.65	-0.13	0.76	0.32	-2
Retailing	0.57	0.41	0.17	1.73	-0.35	0.47	0.29	4
Consumer Durables	0.29	-0.03	-0.67	2.85	1.27	-0.01	0.06	11
Food Retail	0.87	1.57	-0.02	-1.25	-1.43	-0.10	0.06	-1
Autos	1.40	-1.54	-1.43	1.82	1.99	-0.78	-0.02	-10
Transportation	0.58	-0.91	0.11	0.00	0.94	-0.18	-0.05	-5
Tobacco	0.72	0.35	-0.08	0.00	-0.96	-0.25	-0.05	8
Chemicals	0.99	0.26	-0.43	1.66	-1.13	-0.67	-0.08	0
Technology Hardware	0.42	0.36	0.48	-1.16	0.78	-0.38	-0.12	2
Semiconductors	-1.34	0.10	2.38	-1.45	0.45	1.07	-0.15	-3
Banks	0.32	-1.56	1.07	0.00	-0.01	-0.18	-0.18	-13
Utilities	-0.04	0.81	0.36	-2.16	2.17	-0.27	-0.19	-7
Diversified Financials	0.46	-0.91	0.36	1.05	-1.29	-0.32	-0.24	3
Insurance	-0.19	-1.19	0.17	1.59	0.70	-0.06	-0.28	-5
Telecoms	-0.04	0.37	-0.25	-2.15	1.25	-0.03	-0.28	-5
Energy	0.59	-0.72	-1.01	-2.89	2.03	-0.46	-0.37	-4
Metals and Mining	-0.56	-1.05	2.45	-1.53	0.75	-0.60	-0.52	0
Pulp & Paper	0.65	-0.20	-1.13	0.00	-0.18	-1.19	-0.52	0
Construction Materials	-1.32	-1.22	-0.93	2.78	1.56	-0.03	-0.71	1
Capital Goods	-2.15	-1.33	0.03	0.00	-0.54	0.76	-0.94	-1

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Valuation Scorecard

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Our valuation scorecard is based on 12m fwd P/E relatives (IBES consensus), P/B relatives, and dividend yield relatives. We calculate the z-score for each of these components relative to their histories: for P/E, P/B and dividend yield, this calculation is based on monthly values dating back to 1995.

Figure 16: European Sectors – Valuation Scorecard

European Sectors	12m fwd P/E			P/B			Div yield			Total Z-Score	Change, prev.month
	Absolute	Relative	z-score	Absolute	Relative	z-score	Absolute	Relative	z-score		
Beverages	16.4	103%	1.4	2.5	103%	2.4	3.06	108%	3.0	2.3	0
Healthcare Equipment	20.1	126%	1.7	2.3	92%	2.3	1.55	55%	2.1	2.0	2
Commercial Services	15.8	99%	1.9	6.5	262%	0.6	2.66	94%	3.0	1.8	7
Food Producers	21.4	134%	0.5	4.7	191%	0.7	3.57	127%	3.6	1.6	-1
Household Products	20.4	128%	1.5	5.2	209%	0.9	2.85	101%	2.1	1.5	-3
Software	21.5	135%	0.8	3.9	159%	2.0	1.41	50%	1.5	1.4	13
Autos	8.6	54%	0.6	0.6	26%	1.8	5.14	182%	1.9	1.4	-2
Chemicals	20.7	130%	-0.6	2.4	96%	1.7	2.77	98%	1.8	1.0	-1
Food Retail	14.4	90%	0.9	2.3	94%	0.4	3.59	127%	1.3	0.9	-3
Hotels & Leisure	16.0	100%	1.3	4.3	174%	0.2	2.63	93%	0.9	0.8	5
Tobacco	11.6	73%	0.7	2.5	99%	1.0	5.53	196%	0.5	0.7	-2
Pulp & Paper	18.9	118%	-1.0	1.1	43%	1.3	4.46	158%	1.7	0.7	-1
Energy	12.2	77%	0.3	1.4	57%	1.0	4.91	174%	0.5	0.6	-5
Transportation	16.6	104%	0.3	2.3	92%	0.8	2.77	98%	0.6	0.6	-2
Retailing	15.3	96%	1.2	3.3	132%	1.0	1.82	65%	-0.5	0.6	5
Pharmaceuticals	16.4	103%	0.9	4.4	179%	1.2	2.38	84%	-0.6	0.5	-3
Diversified Financials	11.7	74%	1.3	1.5	62%	0.2	2.20	78%	-0.2	0.5	4
Technology Hardware	18.8	118%	0.5	2.7	107%	0.8	2.09	74%	0.0	0.4	-4
Banks	10.1	63%	0.8	1.3	54%	-0.1	3.96	141%	0.3	0.3	-3
Consumer Durables	24.6	154%	-0.8	4.0	161%	0.2	1.98	70%	1.4	0.3	3
Utilities	16.3	103%	-0.2	2.1	85%	0.5	3.90	138%	-0.5	0.0	-4
Telecoms	16.5	104%	0.1	1.9	77%	0.4	3.90	139%	-0.7	0.0	-4
Insurance	11.7	73%	0.2	2.2	88%	-1.7	4.55	162%	1.0	-0.2	2
Metals and Mining	15.1	95%	-0.8	2.3	91%	-0.1	2.03	72%	-0.7	-0.6	-2
Construction Materials	18.0	113%	-0.9	2.5	100%	-2.3	1.90	67%	-0.8	-1.3	1
Semiconductors	37.8	237%	-1.9	10.9	441%	-1.2	0.60	21%	-0.8	-1.3	-2
Capital Goods	24.1	151%	-2.6	4.9	199%	-1.8	1.60	57%	-2.0	-2.2	0

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Macro Scorecard

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Our macro scorecard evaluates each sector's equity sensitivity to macro variables, which we then rank according to our projected macro scenario. Our near-term macro scenario is flat markets, USD, and inflation expectations, falling bond yields, and falling ISM and PMIs.

Figure 17: European Sectors – Macro Scorecard

Europe Sectors - Macro Scorecard	Beta	10Y correlation with:					Z-score	Change, prev.month
		ISM	Europe PMI	BY	Inflation exp.	USD		
Scenario: 1 =up, 0 = no change	0.0	-0.1	-0.1	-0.1	0	0		
Food Producers	0.69	-0.56	-0.46	-0.23	-0.54	0.33	1.71	23
Food Retail	0.88	-0.38	-0.53	-0.25	-0.29	0.27	1.57	19
Pharmaceuticals	0.70	-0.48	-0.53	-0.02	-0.47	0.45	1.32	23
Household Products	0.80	-0.32	-0.33	-0.24	-0.59	0.25	1.22	18
Healthcare Equipment	1.08	-0.16	-0.19	-0.45	-0.24	0.12	1.16	10
Commercial Services	0.69	-0.17	-0.17	-0.32	-0.19	0.27	0.93	17
Utilities	0.97	-0.15	-0.11	-0.32	-0.43	-0.14	0.81	7
Beverages	0.84	-0.18	-0.17	-0.16	-0.17	-0.08	0.67	9
Retailing	1.46	-0.02	0.04	-0.30	-0.23	-0.10	0.41	-4
Telecoms	0.73	-0.22	-0.14	0.04	-0.23	0.10	0.37	10
Technology Hardware	1.01	0.02	-0.03	-0.25	-0.19	0.07	0.36	5
Tobacco	0.30	-0.20	-0.31	0.17	-0.13	0.19	0.35	15
Chemicals	1.06	0.01	0.04	-0.23	0.01	-0.02	0.26	-1
Software	0.92	0.05	0.07	-0.25	-0.06	0.16	0.19	4
Semiconductors	1.75	0.10	0.06	-0.23	0.07	-0.12	0.10	-13
Consumer Durables	1.23	0.07	0.13	-0.18	0.03	-0.02	-0.03	-8
Pulp & Paper	0.65	-0.01	-0.13	0.19	0.18	0.10	-0.20	2
Energy	0.31	0.02	-0.08	0.44	0.33	0.19	-0.72	7
Hotels & Leisure	0.85	0.23	0.24	0.05	0.25	-0.14	-0.77	-6
Diversified Financials	1.05	0.36	0.30	-0.03	0.33	-0.10	-0.91	-9
Transportation	1.25	0.43	0.35	-0.13	0.20	-0.47	-0.91	-18
Metals and Mining	1.02	0.31	0.20	0.17	0.46	-0.19	-1.05	-13
Insurance	0.94	0.18	0.30	0.29	0.32	-0.18	-1.19	-13
Construction Materials	1.24	0.34	0.44	0.07	0.26	-0.23	-1.22	-17
Capital Goods	1.32	0.54	0.63	-0.19	0.36	-0.50	-1.33	-24
Autos	1.15	0.40	0.41	0.23	0.45	-0.24	-1.54	-20
Banks	1.28	0.28	0.33	0.41	0.33	-0.28	-1.56	-23

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Earnings Scorecard

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Our earnings scorecard looks at the change in each sector's 12-month forward EPS and earnings breadth (which is calculated as the sum of weekly upward revisions less the sum of weekly downward revisions divided by the total number of revisions).

Figure 18: European Sectors – Earnings Scorecard

European Sectors	Change in 12m fwd EPS		Earnings breadth		Total Z-score	Change, prev.month
	1-month	3-month	1-month	3-month		
Metals and Mining	2.7%	18.1%	22.7%	17.0%	2.45	0
Semiconductors	0.6%	17.9%	31.2%	18.1%	2.38	2
Banks	0.6%	5.8%	13.0%	8.6%	1.07	-1
Beverages	2.4%	2.4%	2.4%	-2.6%	0.55	20
Technology Hardware	0.2%	4.5%	2.0%	1.1%	0.48	1
Diversified Financials	0.6%	5.0%	-3.5%	-1.4%	0.36	-1
Utilities	-0.4%	3.4%	2.4%	1.2%	0.36	2
Retailing	-0.4%	6.2%	-6.4%	-3.1%	0.17	-5
Insurance	-0.4%	2.7%	-2.1%	-0.7%	0.17	-1
Transportation	-0.3%	4.2%	-6.2%	-2.4%	0.11	-3
Commercial Services	-1.0%	2.7%	-2.2%	-2.2%	0.03	2
Capital Goods	-0.8%	3.8%	-5.0%	-3.6%	0.03	-1
Food Retail	-0.4%	3.1%	-5.4%	-4.7%	-0.02	2
Tobacco	-1.7%	2.5%	-0.7%	-3.7%	-0.08	3
Software	-3.3%	3.9%	0.1%	-1.3%	-0.13	4
Pharmaceuticals	-1.0%	0.7%	-5.5%	-3.5%	-0.18	-2
Hotels & Leisure	-0.8%	1.6%	-6.0%	-6.3%	-0.20	5
Household Products	1.3%	-0.5%	-10.9%	-9.7%	-0.24	7
Telecoms	-1.1%	3.3%	-9.5%	-7.1%	-0.25	-3
Chemicals	-0.4%	0.5%	-11.4%	-9.6%	-0.43	6
Food Producers	-2.6%	1.4%	-11.9%	-8.0%	-0.63	-3
Consumer Durables	-1.4%	0.7%	-16.0%	-10.3%	-0.67	-2
Healthcare Equipment	-1.1%	-0.2%	-19.1%	-12.5%	-0.82	0
Construction Materials	-5.0%	0.2%	-10.9%	-6.1%	-0.93	-14
Energy	-1.8%	-4.0%	-16.8%	-11.2%	-1.01	-4
Pulp & Paper	-2.4%	-1.0%	-20.1%	-15.4%	-1.13	1
Autos	-6.0%	-2.4%	-15.0%	-10.8%	-1.43	-15

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Price Momentum Scorecard

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Price momentum is the percentage deviation of the sector's relative performance from its six-month moving average relative to the market, normalised such that the most oversold sectors have the most positive z-scores. We only consider a sector's price momentum at extremes (at least one standard deviation oversold or overbought).

Figure 19: European Sectors – Price Momentum Scorecard

European Sectors	Price momentum		Change, prev.month
	Relative	z-score	
Software	-18.0%	3.15	1
Consumer Durables	-14.0%	2.85	5
Healthcare Equipment	-12.9%	2.79	2
Construction Materials	-15.3%	2.78	16
Commercial Services	-11.7%	2.67	-4
Autos	-11.9%	1.82	2
Retailing	-10.9%	1.73	9
Chemicals	-6.2%	1.66	-5
Hotels & Leisure	-8.7%	1.65	-5
Insurance	-5.7%	1.59	-4
Household Products	-4.2%	1.08	3
Diversified Financials	-6.8%	1.05	6
Banks	-0.8%	0.00	12
Pulp & Paper	0.1%	0.00	-1
Capital Goods	1.4%	0.00	6
Tobacco	1.5%	0.00	-1
Food Producers	1.5%	0.00	-7
Beverages	1.3%	0.00	-7
Transportation	1.4%	0.00	5
Pharmaceuticals	2.4%	0.00	3
Technology Hardware	6.4%	-1.16	-2
Food Retail	6.0%	-1.25	-10
Semiconductors	14.8%	-1.45	4
Metals and Mining	16.0%	-1.53	2
Telecoms	10.7%	-2.15	-16
Utilities	9.3%	-2.16	-4
Energy	18.1%	-2.89	-10

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Net Positioning Scorecard

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For our positioning scorecard, we look at net consensus buy recommendations by sell-side analysts. The more positive the recommendations relative to the market, the lower the score. The sector's z-score for each component is calculated against the sector's own long-term average (since 1995).

Figure 20: European Sectors – Net Positioning

European Sectors	Sell side analysts consensus recomm. rel to market		Change, prev.month
	Current, pp	Z-Score	
Utilities	-4.9%	2.17	5
Energy	-5.6%	2.03	2
Autos	-2.8%	1.99	-1
Food Producers	-6.7%	1.58	5
Construction Materials	0.1%	1.56	-4
Consumer Durables	-2.4%	1.27	-3
Telecoms	-2.7%	1.25	0
Transportation	-2.5%	0.94	3
Technology Hardware	-4.7%	0.78	1
Metals and Mining	-3.4%	0.75	5
Insurance	-1.9%	0.70	-6
Semiconductors	6.0%	0.45	-4
Banks	-0.4%	-0.01	-1
Hotels & Leisure	1.3%	-0.13	-1
Pulp & Paper	-2.6%	-0.18	3
Pharmaceuticals	3.9%	-0.24	0
Retailing	1.6%	-0.35	0
Household Products	0.9%	-0.35	1
Capital Goods	0.0%	-0.54	-5
Tobacco	10.4%	-0.96	1
Chemicals	-1.0%	-1.13	2
Diversified Financials	3.5%	-1.29	0
Beverages	6.2%	-1.29	1
Food Retail	3.1%	-1.43	1
Software	4.9%	-1.51	-5
Healthcare Equipment	2.5%	-2.17	0
Commercial Services	4.2%	-3.54	0

Source: Refinitiv Datastream, Bloomberg, UBS

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European Sectors – Quality Fundamental Scorecard

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Our fundamental scorecard assesses profitability (12m fwd ROE), and the volatility of profitability, sales growth (CAGR of 5-year trailing and 3-year forward) and the volatility of sales growth, EPS growth (CAGR of 5-year trailing and 3-year forward), credit quality (CDS spreads), and leverage.

Figure 21: European Sectors – Quality Fundamental Scorecard

European Sectors	12m fwd ROE	5y Average ROE	12m fwd ROE/ 10y stdev	Sales growth	Sales growth / 10y stdev	EPS growth	Net debt to EBITDA	Weighted z score	Change, prev.month
Weightings	20%	0%	20%	15%	15%	15%	15%		
Pharmaceuticals	24%	24%	20.26	7%	0.70	8%	1.27	1.09	0
Semiconductors	27%	28%	3.77	14%	0.76	16%	-0.29	1.07	3
Commercial Services	37%	29%	18.69	1%	0.24	9%	2.08	0.92	0
Capital Goods	18%	15%	8.54	8%	0.83	17%	0.99	0.76	2
Hotels & Leisure	24%	11%	3.97	11%	0.28	28%	2.09	0.76	-1
Software	16%	16%	9.09	3%	1.14	6%	0.23	0.48	8
Retailing	20%	12%	3.54	7%	0.53	18%	0.46	0.47	1
Household Products	23%	22%	14.53	2%	0.04	8%	0.87	0.34	1
Food Producers	20%	18%	8.32	5%	0.05	10%	2.58	0.06	-2
Consumer Durables	14%	15%	5.83	3%	0.38	11%	0.67	-0.01	7
Telecoms	11%	9%	11.62	0%	0.83	6%	2.84	-0.03	5
Construction Materials	13%	11%	5.10	4%	0.41	11%	1.18	-0.03	10
Insurance	18%	13%	6.39	2%	0.41	8%	1.88	-0.06	-3
Food Retail	15%	13%	8.35	3%	0.35	6%	2.32	-0.10	-3
Beverages	14%	15%	8.42	5%	0.28	5%	2.93	-0.12	-2
Transportation	13%	15%	1.59	8%	0.27	9%	1.75	-0.18	-1
Banks	13%	9%	6.30	7%	0.91	18%	11.16	-0.18	-15
Tobacco	21%	17%	1.21	1%	0.61	4%	2.50	-0.25	1
Utilities	12%	13%	9.31	3%	0.22	7%	3.33	-0.27	-7
Diversified Financials	12%	9%	6.00	-1%	0.22	13%	1.24	-0.32	0
Healthcare Equipment	11%	10%	4.98	3%	0.28	8%	2.05	-0.33	-3
Technology Hardware	13%	15%	4.17	1%	0.12	5%	-0.14	-0.38	2
Energy	11%	15%	1.60	5%	-0.05	8%	0.69	-0.46	0
Metals and Mining	14%	18%	2.08	4%	0.21	-7%	1.21	-0.60	2
Chemicals	10%	12%	4.73	0%	0.01	5%	1.87	-0.67	0
Autos	7%	10%	2.30	7%	0.15	5%	6.07	-0.78	-5
Pulp & Paper	6%	8%	1.74	-1%	0.15	-8%	2.01	-1.19	0

Source: Refinitiv Datastream, Bloomberg, UBS

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Earnings versus Trend

We look at EPS versus trend to evaluate an element of earnings risk. The higher the R-squared, the better the fit. The tables below show the deviation of 12-month fwd EPS from its trend for each global and European sector. To obtain this trend line, an exponential line of best fit has been drawn since 2005. We also highlight the fit of EPS to the trend by the R-squared. A low R-squared means that there is little obvious trend to earnings growth.

Figure 22: Global Sector EPS versus Trend

Global			
	Deviation from trend EPS	**Trend CAGR**	**R-squared**
Semiconductors & Semiconductor Equipment	90%	13%	0.89
Software & Services	12%	10%	0.99
Tech Hardware & Equipment	17%	9%	0.96
Health Care Equipment & Services	-15%	9%	0.98
Retailing	25%	8%	0.93
Media	24%	8%	0.91
Pharmaceuticals, Biotechnology & Life Sciences	-3%	6%	0.97
Automobiles & Components	-25%	5%	0.50
Transportation	21%	5%	0.77
Food, Beverage & Tobacco	-8%	5%	0.92
Consumer Durables & Apparel	-8%	4%	0.75
Consumer Services	20%	4%	0.64
Household & Personal Products	-4%	4%	0.93
Capital Goods	15%	4%	0.80
Commercial Services & Supplies	23%	4%	0.81
Insurance	37%	3%	0.64
Food & Drug Retailing	3%	3%	0.85
Materials	12%	1%	0.05
Banks	45%	1%	0.08
Diversified Financials	46%	1%	0.02
Utilities	26%	1%	0.16
Telecommunication Services	12%	0%	0.02
Real Estate	11%	0%	0.03
Energy	15%	-1%	0.04
	CAGR of nominal GDP over same period:	3%	

Source: Refinitiv Datastream, UBS

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Figure 23: European Sector EPS versus Trend

Europe			
	Deviation from trend EPS	Trend CAG	R-squared
Semiconductors & Semiconductor Equipment	16%	14%	0.94
Automobiles & Components	-42%	8%	0.60
Household & Personal Products	-8%	6%	0.89
Consumer Durables & Apparel	-18%	6%	0.83
Software & Services	-2%	5%	0.73
Pharmaceuticals, Biotechnology & Life Sciences	13%	4%	0.88
Food, Beverage & Tobacco	-5%	4%	0.87
Health Care Equipment & Services	-7%	4%	0.72
Commercial Services & Supplies	5%	3%	0.66
Capital Goods	40%	3%	0.50
Transportation	26%	3%	0.34
Insurance	34%	2%	0.34
Materials	11%	1%	0.01
Consumer Services	36%	0%	0.01
Utilities	53%	-1%	0.15
Energy	13%	-1%	0.04
Real Estate	10%	-1%	0.50
Retailing	80%	-2%	0.08
Media	-12%	-2%	0.27
Food & Drug Retailing	38%	-2%	0.27
Banks	137%	-3%	0.32
Telecommunication Services	31%	-4%	0.55
Diversified Financials	83%	-4%	0.48
Technology Hardware & Equipment	73%	-5%	0.56
	CAGR of nominal GDP over same period:	1%	

Source: Refinitiv Datastream, UBS

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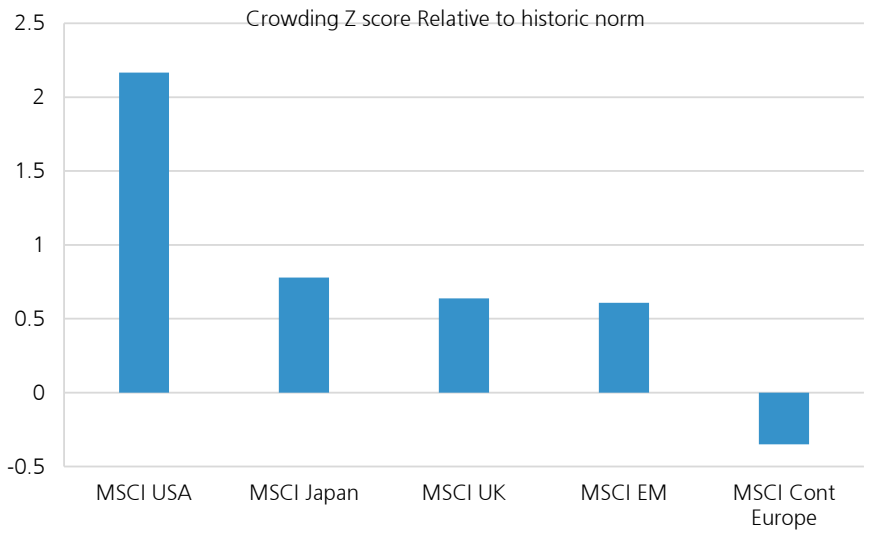
Regional Crowding

We show below the regional crowding data.

Figure 24: Regional Crowding Scores

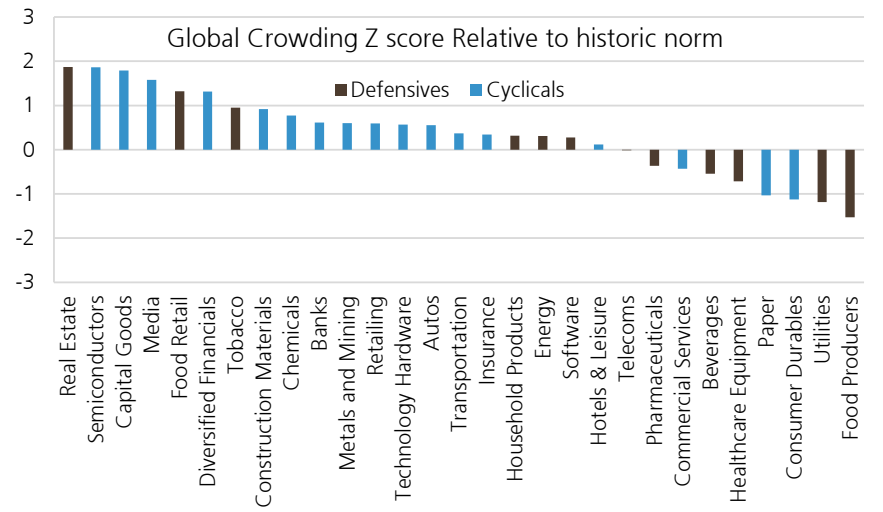


Source: Refinitiv Datastream, UBS

Global Sectors Crowding

We show below the global sectors' crowding data.

Figure 25: Sector Crowding Scores



Source: Refinitiv Datastream, UBS

Narrative Radar ML Model

In order to understand which factors are currently having the largest impact on market moves, and which areas have over/undershot macro fundamentals, we deploy a machine learning model to understand and explain what is driving equity returns. Our Narrative Radar suite is published weekly in our Tactical Dashboard. We use our model for three main purposes:

1. **What's driving markets?** To understand what macro variables are the most important for market returns, we refit and train our model on a one-month rolling basis. We then deploy an algorithm known as SHAP, which is an impressive tool

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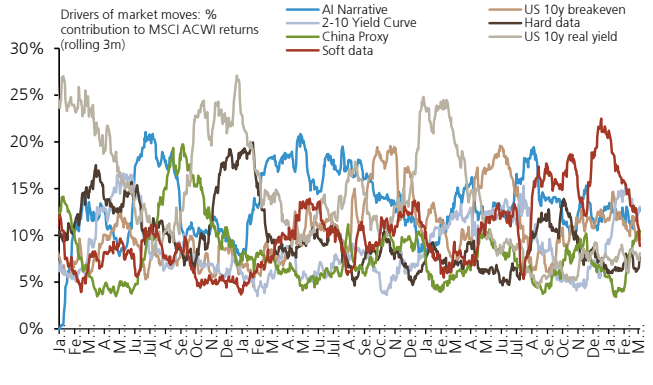
that can extract the extent to which a variable has impacted a model's prediction. The macro factors that we look at are: 2-10 Yield Curve, Hard Data, AI Narrative, China Proxy, Soft Data, US 10y Breakeven, and US 10y Real Yield.

2. **What's over/undershot fundamentals?** Based on our model's learned relationships, we extrapolate the expected relative performance of industry groups and factors, given the changes in macro drivers. We then compare this with actual performance to identify areas that are most disconnected with fundamentals.

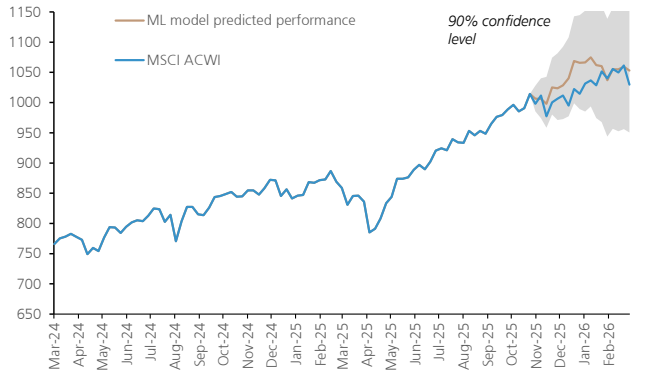
3. **Industry group and factor fan charts.** We provide charts comparing the relative performance of each industry group and our machine learning model's expected performance. These charts also include confidence intervals to provide further context on how extreme these deviations are. The confidence intervals are calculated by using bootstrap sampling from our cross-validated errors in order to simulate errors around the prediction our model makes on the test data. For each bootstrap simulation, we take the prediction made by the model and add on a randomly selected error. We perform this bootstrap simulation thousands of times to get our confidence range. We employ the same process and show the related output fan charts/confidence intervals for factor returns as well.

Figure 26: Drivers of ACWI market returns



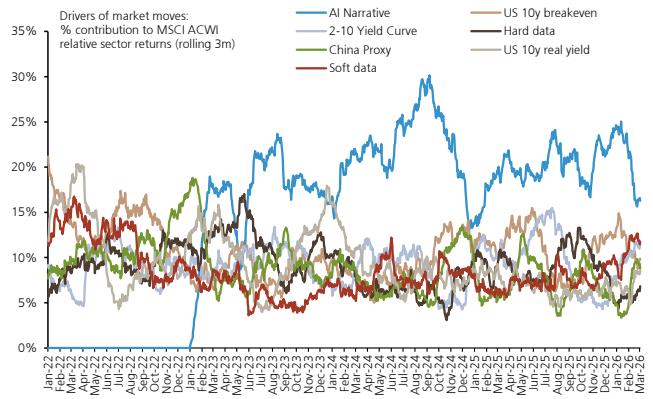
Source: Bloomberg, UBS

Figure 27: ACWI vs model expected path



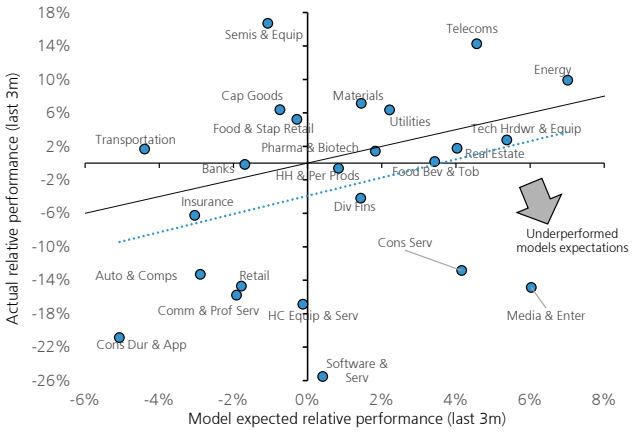
Source: Bloomberg, UBS

Figure 28: Drivers of ACWI relative industry returns



Source: Bloomberg, UBS

Figure 29: IG performance vs ML model expected



Source: Bloomberg, UBS

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Narrative Radar Scorecard by Region

Figure 30: Narrative Radar Tactical Indicators Scorecard

	ACWI				US				Europe			
	Unexplained (3m)	Unexplained (1m)	Deviation from path (3m)	Score	Unexplained (3m)	Unexplained (1m)	Deviation from path (3m)	Score	Unexplained (3m)	Unexplained (1m)	Deviation from path (3m)	Score
Software & Svcs	2.3	2.0	3.0	2.5	2.9	2.7	3.4	3.0	1.0	1.9	2.0	1.6
Comm & Prof Svcs	0.7	0.3	0.9	0.7	0.8	0.5	0.8	0.7	1.9	2.1	2.5	2.2
Div Fins	0.5	0.5	0.5	0.5	0.9	0.7	0.8	0.8	1.1	1.2	0.9	1.1
Media & Ent.	0.7	1.4	0.4	0.7	0.2	0.8	-0.3	0.1	1.0	1.0	1.2	1.1
Cons Svcs	0.4	0.3	0.5	0.4	0.1	0.4	0.5	0.3	1.2	1.0	0.9	1.1
Retailing	1.4	2.1	1.2	1.4	0.3	1.1	0.2	0.4	-0.6	0.4	-0.7	-0.4
Insurance	0.1	0.1	0.0	0.1	1.1	0.9	0.2	0.7	0.5	0.6	0.1	0.3
HC Equip. & Svcs	1.0	0.1	0.9	0.8	0.8	0.2	0.8	0.7	-0.1	-1.0	-0.4	-0.4
Cons Dur & App	1.3	-0.3	1.1	0.9	0.4	-0.4	0.2	0.2	-1.5	-0.3	-0.9	-1.0
HH & Pers. Prod.	0.2	0.1	0.2	0.1	-0.5	-0.1	-0.2	-0.3	0.3	-0.3	-0.1	0.0
Real Estate	-0.3	0.2	-0.2	-0.2	-0.3	-0.8	0.0	-0.3	0.2	0.1	0.0	0.1
Banks	-0.4	0.4	-0.5	-0.3	0.5	0.3	0.2	0.3	-0.2	-0.6	-0.8	-0.5
Transportation	-0.3	0.4	-0.5	-0.3	0.1	-0.6	-0.5	-0.3	0.3	-1.1	0.0	-0.1
Food, Bev & Tob	-0.1	-0.2	-0.3	-0.2	-0.7	-0.1	-0.6	-0.5	-0.2	-1.4	-0.3	-0.5
Tech Hdwr	0.0	-0.5	-0.1	-0.1	0.0	-0.4	0.1	0.0	-1.5	-0.5	-1.3	-1.2
Semis	-0.9	0.5	-0.3	-0.4	0.6	0.9	0.9	0.8	-2.5	-0.5	-1.9	-1.9
Telecoms	-0.9	-2.0	-0.7	-1.0	-0.9	-2.4	-0.7	-1.1	1.0	0.5	0.5	0.7
Food & Stap Retail	-0.6	-1.1	-0.7	-0.8	-0.8	-0.6	-0.9	-0.8	0.1	0.2	0.0	0.1
Utilities	-0.4	-0.9	-0.3	-0.5	-0.5	-1.1	-0.2	-0.5	-0.6	-1.1	-0.4	-0.7
Pharma	0.0	0.0	-0.9	-0.3	-0.5	0.0	-1.2	-0.7	-0.9	-1.1	-0.8	-0.9
Cap Goods	-1.1	-0.9	-0.9	-1.0	-1.2	-1.0	-0.9	-1.0	-0.1	0.4	-0.1	0.0
Materials	-2.2	-0.7	-1.6	-1.7	-1.4	-0.2	-0.9	-1.0	0.1	-0.3	0.0	0.0
Energy	-1.5	-1.7	-1.5	-1.5	-1.8	-0.9	-1.6	-1.5	-0.5	-1.3	-0.5	-0.7

Source: UBS. Note: Higher = recent underperformance and therefore a more positive tactical view from the model. All numbers shown are cross sectional z-scores by region.

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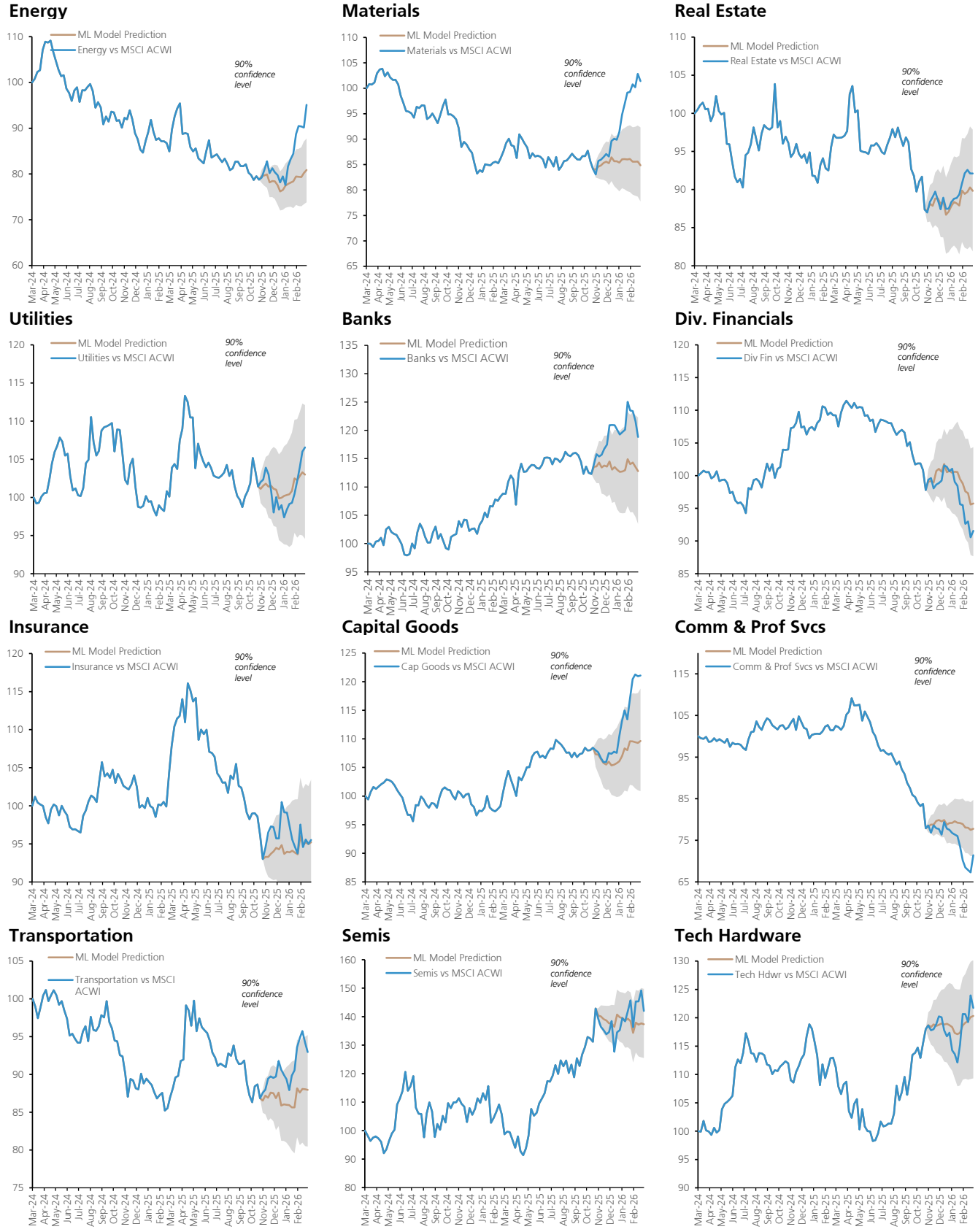
Industry Group Performance vs ML Model Implied

Figure 31: Relative Industry Group Performance vs ML Model Predictions Based on Macro Drivers



Source: Bloomberg, UBS

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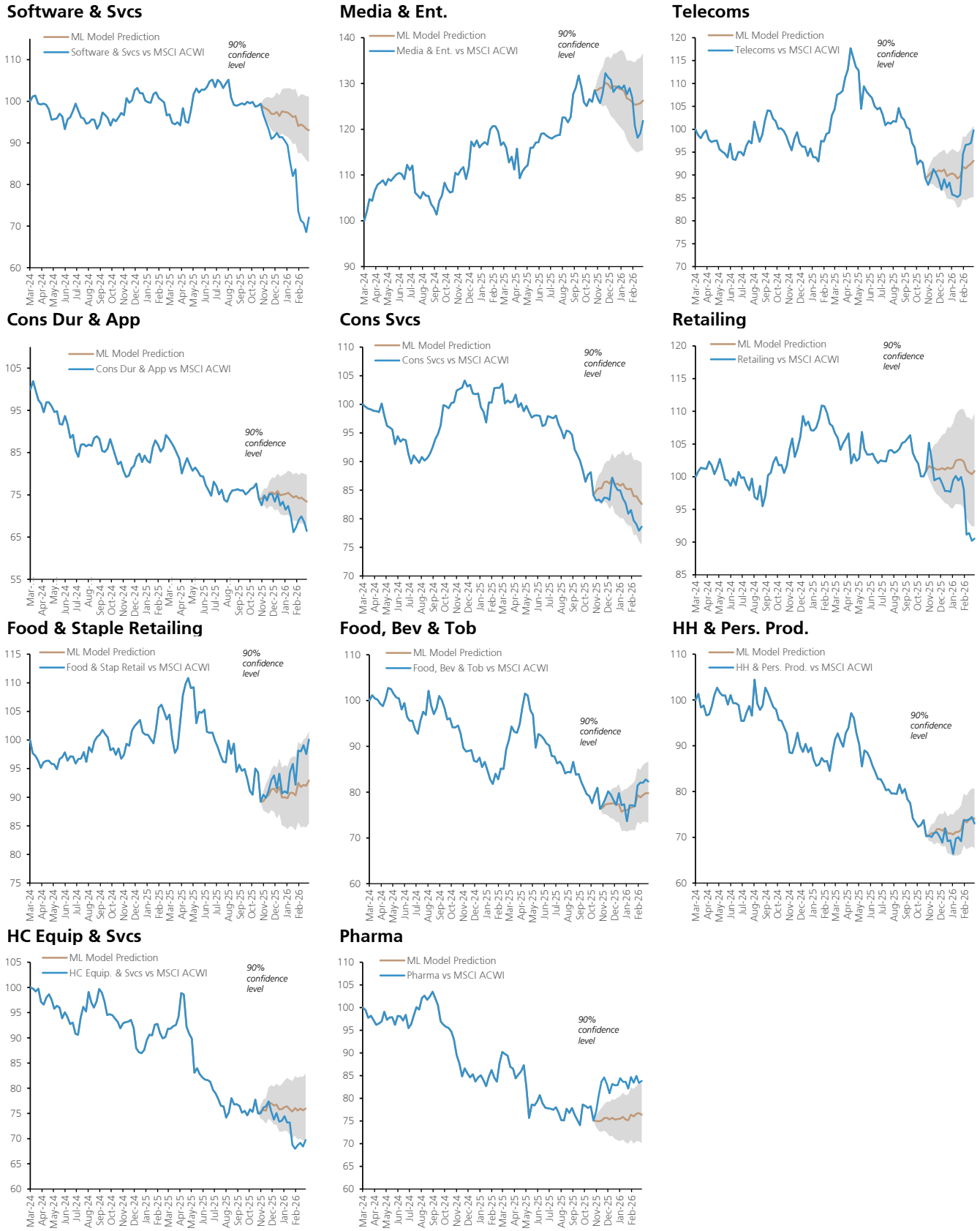
Figure 32: Relative Industry Group Performance vs ML Model Predictions Based on Macro Drivers



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Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
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Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
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